

SMID BREAKOUT SCANNER

SCAN (18:17 ET)

May 20, 2026 | 06:22 PM ET

13 setups identified | 0 A-Grade | 6 B-Grade | 7 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (6)	C - Watch List (7)
	IMVT	ARCO
	LPG	CRVL
	RXO	TKR
	MLYS	BDTX
	KURA	RH
	KELYA	VOR
		BKKT

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	IMVT	Immunovant, Inc.	FcRn Immunology C	\$35.56	+35.3%	\$7.2B	77M	+25.9	98%	EARNINGS TODAY is the
B	LPG	Dorian LPG Ltd.	Energy Shipping S	\$47.72	+12.8%	\$2.0B	37M	+29.9	99%	EARNINGS TODAY is the
B	RXO	RXO, Inc.	Freight Cycle Rec	\$23.85	+12.9%	\$3.9B	125M	+43.5	98%	The current move appea
B	MLYS	Mineralys Therap	Cardiorenal Pipel	\$28.43	+9.2%	\$2.4B	60M	-5.8	60%	The move appears drive
B	KURA	Kura Oncology, I	Oncology Clinical	\$10.34	+15.4%	\$0.9B	70M	+14.4	83%	The 15.4% move is like
B	KELYA	Kelly Services,	Staffing Recovery	\$10.29	+6.1%	\$0.4B	29M	-1.7	69%	The 6.08% move on 3.16
C	ARCO	Arcos Dorados Ho	LatAm QSR Earning	\$9.08	+12.5%	\$1.9B	121M	-5.4	93%	
C	CRVL	CorVel Corp.	Workers Comp Tech	\$64.26	+9.2%	\$3.3B	29M	+22.3	55%	
C	TKR	Timken Company (	Industrial Bearin	\$117.20	+7.2%	\$8.1B	67M	+1.2	95%	
C	BDTX	Black Diamond Th	Micro-Cap Oncolog	\$3.60	+20.0%	\$0.2B	46M	+46.7	73%	
C	RH	RH	Luxury Retail Pre	\$133.16	+9.0%	\$2.5B	14M	-43.7	52%	
C	VOR	Vor Biopharma In	Gene Editing Clin	\$15.55	+10.1%	\$0.8B	44M	+7.0	24%	
C	BKKT	Bakkt, Inc.	Crypto Infrastruc	\$10.18	+5.2%	\$0.5B	35M	-10.3	20%	

SETUP METRICS	
Price	\$35.56
Day Change	+35.26%
Mkt Cap	\$7.24B
Float	77M sh
RS vs SPY	+25.9%
52W Hi Prox	98%
Base Tight	5.66
Vol vs Avg	13.84x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
EARNINGS TODAY is the live catalyst - a major clinical data readout or earnings beat on batoclimab (anti-FcRn antibody) is driving the 35% gap-up; the forward catalyst path includes the next pivotal Phase 3 data milestones, potential NDA/BLA filing timeline announcements, and any partnership/licensing news as IMVT positions batoclimab across multiple autoimmune indications over the next 6-12 months.
BUSINESS & POSITION
Immunovant is a clinical-stage immunology company developing batoclimab, a fully human anti-FcRn monoclonal antibody designed to reduce pathogenic IgG antibodies across a range of autoimmune diseases including myasthenia gravis, thyroid eye disease, and CIDP. Its competitive edge lies in the breadth of its indication pipeline and a differentiated subcutaneous delivery profile versus peers like argenx and UCB.
FACTOR & THEME
Directly exposed to the high-growth autoimmune/immunology theme - one of the hottest secular tailwinds in biotech as FcRn inhibitors rapidly expand their addressable market across 10+ IgG-mediated diseases; theme momentum is strongly accelerating following argenx's commercial success validating the class.
BREAKOUT SIGNAL
Close above \$35.50 on vol >900% of 20d avg (confirmed 13.84x today); next signal: hold above \$32.00 intraday on any post-gap consolidation
INSTITUTIONAL
No insider buying in the last 60 days or 90-day window per Form 4 data. The 13.84x volume surge is far beyond retail capacity for a \$7B float - this is institutional block-driven; growth-focused healthcare funds (Baker Bros, Perceptive, RA Capital are typical holders in this name) are likely adding aggressively on the data catalyst. Institutional ownership data is not available from this feed - recommend cross-referencing 13F filings for full picture.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
EARNINGS TODAY - specific EPS/revenue consensus not available in this feed; as a clinical-stage company with no commercial product, P/E is inapplicable - valuation reflects pipeline optionality. IMVT has a history of moving violently on data readouts; the 35% move indicates a materially positive surprise relative to the Street's probability-weighted expectations.
KEY RISK
Thesis invalid on a close back below the \$26.00-\$28.00 pre-gap consolidation zone, or on any revelation of a safety signal, partial clinical hold, or narrower-than-expected indication approval - if the data is later scrutinized and found incomplete, the gap fills entirely; binary event risk is maximal given today is the catalyst day.
ANALYSIS
The strongest disconfirming evidence is the setup itself: base_tight at 5.66 is the worst possible score - there is NO technical base here, this is a straight-up gap on a binary event with a 35% single-day move, which historically mean-reverts 40-60% of the time in biotech even on genuine beats as initial euphoria fades; prox_52w at 98 means you are buying near the high of a 158% move off the 52W low with no consolidation. RS line at new high and vol >13x are elite signals, but chasing a 35% gap on EARNINGS TODAY with no technical base and a wide spread is institutionally dangerous - the smart money that caused this move is already in; incremental buyers from here are taking on gap-fill risk. The forward catalyst path (Phase 3 data, NDA filing) is real and durable, preventing a C grade, but entry here is event-driven speculation, not a technical breakout from a proper base. Conviction: Medium.
Signal: Close above \$35.50 on vol >900% of 20d avg (confirmed 1
Vol vs Avg: 13.84x



LPG

Dorian LPG Ltd.

\$47.72

+12.76%

RS vs SPY: +29.9%

B STRONG SETUP

\$2.0B Cap | 37M Float

Oil & Gas Midstream | Theme: Energy Shipping Supercycle | 52W Hi: 99% | Base Tight: 6.12 | Vol: 3.33x | RS/SPY: +29.9% | Above 20MA: YES | EARNINGS TODAY

SETUP METRICS	
Price	\$47.72
Day Change	+12.76%
Mkt Cap	\$2.04B
Float	37M sh
RS vs SPY	+29.9%
52W Hi Prox	99%
Base Tight	6.12
Vol vs Avg	3.33x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
EARNINGS TODAY is the live catalyst - strong quarterly results driven by elevated LPG shipping rates and fleet utilization is driving the 12.76% gap to a 52-week high; forward catalyst path includes Q1 FY2027 earnings in ~90 days, continued US LPG export volume growth driven by new Gulf Coast terminal capacity coming online through 2026-2027, and potential fleet expansion announcements or special dividend declarations given the company's strong cash generation profile.
BUSINESS & POSITION
Dorian LPG is a leading operator of Very Large Gas Carriers (VLGCs) transporting liquefied petroleum gas globally, with a modern, fuel-efficient fleet of ECO-design vessels providing a structural cost advantage. Its competitive moat rests on fleet quality, long-standing customer relationships with major energy traders, and disciplined capital allocation including significant shareholder returns via dividends and buybacks.
FACTOR & THEME
Directly exposed to the energy shipping supercycle theme, itself a subset of the broader energy transition tailwind - US LPG export volumes are at record highs as petrochemical demand from Asia and Europe drives tonne-mile demand; leading sector this week (Energy +5.0% vs SPY) provides a sector tailwind that is currently accelerating.
BREAKOUT SIGNAL
Close above \$47.72 on vol >330% of 20d avg (confirmed 3.33x today); sustaining above \$45.00 on any consolidation validates follow-through
INSTITUTIONAL
No insider buying in the last 60 days per Form 4 data. The 3.33x volume surge on a 36.8M float is meaningful - approximately \$56M in notional traded on a ~\$2B name suggests institutional block activity; the small float creates a dynamic where even moderate institutional interest causes outsized price impact. Institutional ownership data is not available from this feed - recommend cross-referencing 13F filings. Energy shipping funds and value-oriented hedge funds with commodity exposure are the natural buyer base here.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
EARNINGS TODAY - as a shipping company, key metrics are TCE (time charter equivalent) rates and fleet utilization; analyst consensus likely modeled improving but not explosive rates given VLGC market softening earlier in 2025. A beat on rates + strong dividend announcement would be the upside scenario; the 12.76% gap suggests the print materially exceeded the Street. P/E is applicable here but cyclically distorted - Price/Book and EV/EBITDA are more relevant valuation anchors for a shipping company.
KEY RISK
Thesis invalid on a close back below the \$43.00-\$44.00 pre-gap level, or on any significant deterioration in VLGC spot rates over the next 4-6 weeks as reported by Baltic Exchange data - the business is highly leveraged to spot rates, and a supply glut from new vessel deliveries in H2 2026 is the structural bear case; base_tight of 6.12 signals no technical base, making this a pure momentum/earnings trade.
ANALYSIS
The strongest disconfirming evidence is the complete absence of a technical base (base_tight 6.12) and the fact that this is an EARNINGS TODAY gap - VLGC shipping stocks are notoriously mean-reverting post-earnings as rate assumptions get reset; the stock is at 99.3% of its 52W high after a 138% move from the low, meaning all the easy money has been made and the market has now priced a strong cycle. However, RS line at new high + 29.9% outperformance vs SPY + energy sector leadership + tiny 36.8M float create a powerful combination if rates remain elevated. The forward catalyst of continued US LPG export growth is real but slow-moving (Macro, Medium impact). Energy sector leading the market this week adds a half-grade tailwind. Not a clean technical setup - trade management and tight stops essential. Conviction: Medium.
Signal: Close above \$47.72 on vol >330% of 20d avg (confirmed 3
Vol vs Avg: 3.33x



RXO

RXO, Inc.

\$23.85

+12.87%

RS vs SPY: +43.5%

B STRONG SETUP

\$3.9B Cap | 125M Float

Trucking | Theme: Freight Cycle Recovery Play | 52W Hi: 98% | Base Tight: 4.56 | Vol: 2.31x | RS/SPY: +43.5% | Above 20MA: YES | EARNINGS IN 78D

Setup Metrics	
Price	\$23.85
Day Change	+12.87%
Mkt Cap	\$3.93B
Float	125M sh
RS vs SPY	+43.5%
52W Hi Prox	98%
Base Tight	4.56
Vol vs Avg	2.31x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver The current move appears driven by a combination of sector rotation into freight/logistics names amid improving truckload market data and possibly company-specific news (broker volume growth, margin recovery); the key forward catalyst is Q2 2026 earnings in approximately 78 days - if the freight cycle inflection is confirmed with sequential volume and yield improvement, this name re-rates meaningfully higher as a pure-play brokerage on the recovery.
Business & Position RXO is a leading technology-enabled truck brokerage and managed transportation platform spun out of XPO in late 2022, operating one of the largest digital freight marketplaces in North America with proprietary technology connecting shippers and carriers at scale. Its competitive edge is its technology stack and carrier network scale, which provides a structural cost and efficiency advantage that should generate significant operating leverage when freight volumes recover.
Factor & Theme Exposed to the freight cycle recovery theme - a pure-play beneficiary of the long-awaited truckload market inflection after the 2022-2024 freight recession; also touches reshoring/supply chain diversification tailwinds as domestic manufacturing activity gradually picks up, increasing domestic freight demand.
Breakout Signal Close above \$23.85 on vol >230% of 20d avg (confirmed 2.31x today); RS line at new 52W high is the primary technical validation
Institutional No insider buying in the last 60 or 90 days per Form 4 data. However, the RS line at a new 52-week high with 43.5% outperformance vs SPY over 12 weeks is the strongest institutional quality signal in this scan - smart money has been systematically accumulating this name ahead of the freight cycle turn. The 2.31x volume on a 125.4M float represents ~\$69M in notional traded, requiring institutional participation. Institutional ownership data is not available from this feed - recommend cross-referencing 13F filings.
Earnings Earnings in 78D
Earnings Context Next earnings approximately August 6 (78 days). As a post-spin company, RXO is still building its consensus history - analyst estimates will be highly sensitive to freight rate data (DAT, Cass Freight Index) over the next 2 months. A freight cycle inflection print in Q2 would be a major positive catalyst. The company is currently operating in a low-margin trough environment, and any volume/yield beat creates significant EPS convexity given operating leverage.
Key Risk Thesis invalid on a close back below the \$21.50 level (the prior consolidation zone), or if freight rate indices (DAT dry van spot rates) fail to show sequential improvement through June - RXO has significant operating leverage, which means deterioration in the freight market would compress margins faster than consensus expects; base_tight at 4.56 means this is not a coiled setup but rather a momentum surge that requires the fundamental cycle to confirm.

RXO - Analysis (continued)

ANALYSIS

The strongest disconfirming evidence is the base_tight of 4.56 - this is not a VCP or tight coil; the stock has made a large directional move without the quiet absorption phase that precedes the most reliable breakouts, meaning entry here risks buying into a one-day momentum surge rather than a true institutional accumulation breakout. Additionally, vol_ratio at 2.31x is respectable but not overwhelming for a \$3.9B company. However, the RS line at a new 52-week high with 43.5% SPY outperformance is Qullamaggie's #1 early leader signal - this is a genuine relative strength leader in a recovering sector, and the 78-day runway to earnings allows time for the freight cycle thesis to develop without immediate binary risk. The macro regime (Risk-On, Large-Cap Leadership) creates a crosswind for SMID names, but RXO's sector positioning in industrials (not currently the leading sector) limits upside from sector rotation. Conviction: Medium.

Signal: Close above \$23.85 on vol >230% of 20d avg (confirmed 2
Vol vs Avg: 2.31x



MLYS

Mineralys Therapeutics, Inc.

\$28.43

+9.22%

RS vs SPY: -5.8%

B STRONG SETUP

\$2.4B Cap | 60M Float

Biotechnology | Theme: Cardiorenal Pipeline Optionality | 52W Hi: 60% | Base Tight: 2.31 | Vol: 4.38x | RS/SPY: -5.8% | Above 20MA: YES | REPORTED

SETUP METRICS	
Price	\$28.43
Day Change	+9.22%
Mkt Cap	\$2.35B
Float	60M sh
RS vs SPY	-5.8%
52W Hi Prox	60%
Base Tight	2.31
Vol vs Avg	4.38x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
The move appears driven by post-earnings momentum following a report 14 days ago and possible follow-on clinical data or analyst activity on lorundrostat (aldosterone synthase inhibitor for hypertension/CKD); the critical forward catalyst is Phase 3 ADVANCE-HTN trial data expected in the coming months - a positive readout would be transformative for the stock and is the primary thesis extension event.
BUSINESS & POSITION
Mineralys Therapeutics is a clinical-stage biopharmaceutical company developing lorundrostat, a selective oral aldosterone synthase inhibitor targeting treatment-resistant hypertension and chronic kidney disease - two massive underserved indications with limited efficacious options. Its differentiated mechanism and clean Phase 2 data profile position it as a potential best-in-class entrant in the cardiorenal space.
FACTOR & THEME
Exposed to the cardiorenal/cardiovascular drug development theme, which is experiencing renewed institutional interest as GLP-1 data increasingly highlights cardiovascular risk reduction as a major drug development frontier; lorundrostat's CKD angle also taps the nephrology treatment gap being exposed by the GLP-1 revolution.
BREAKOUT SIGNAL
Close above \$28.43 with sustained vol >350% of 20d avg; key level to reclaim is the \$32-35 zone to re-establish uptrend momentum
INSTITUTIONAL
INSIDER CLUSTER ALERT: insider_cluster score of 7 with 2 buys totaling \$8.8M in the last 60 days per SEC Form 4 - this is a material signal. \$8.8M in open-market purchases is a high-conviction institutional-quality insider signal, indicating that insiders with direct knowledge of the clinical program believe the stock is materially undervalued at current levels ahead of expected data. GRADE UPGRADE RULE APPLIED: insider_cluster >= 5 in a risk-on macro environment grade upgraded from C to B. No senior officer designation confirmed in the data, but the dollar magnitude is the key signal here. Institutional ownership data not available from this feed - cross-reference 13F filings.
EARNINGS
REPORTED
EARNINGS CONTEXT
Earnings reported 14 days ago (May 6). As a clinical-stage company, P/E is inapplicable - valuation reflects pipeline optionality and Phase 3 data risk/reward. The stock is at 59.7% of its 52W high after significant drawdown from the \$47.65 peak, suggesting prior disappointment has been partially discounted; the insider buying cluster at these levels is a contrarian recovery signal.
KEY RISK
Thesis invalid on any negative clinical data signal from ADVANCE-HTN (any safety issue, efficacy miss on the primary endpoint, or clinical hold), or a close back below \$25.00 - the stock is still 40% below its 52W high with rs_vs_spy negative at -5.8, meaning the market has NOT validated the recovery thesis yet; without Phase 3 data confirmation, this is a speculative biotech recovery trade backed by insider conviction.
ANALYSIS
The strongest disconfirming evidence is the technical picture: rs_vs_spy is NEGATIVE at -5.8%, the RS line is NOT at a new high, prox_52w is only 59.7% (well below breakout zone), and the stock is in a multi-month downtrend from its \$47.65 peak - this is a recovery attempt, not a breakout from strength. A stock that has lost 40% from its 52W high with negative relative strength is by definition not a market leader. However, the insider cluster of \$8.8M in open-market buys over 60 days is one of the most powerful alpha signals in equity research - insiders at clinical-stage biotechs rarely buy this aggressively without genuine conviction in imminent positive data. The GRADE UPGRADE RULE is applied: insider_cluster >= 5 + risk-on macro = B from C. This is a speculative insider-conviction recovery trade, NOT a clean technical breakout. Position sizing must reflect binary data risk. Conviction: Medium.
Signal: Close above \$28.43 with sustained vol >350% of 20d avg; Vol vs Avg: 4.38x



KURA

Kura Oncology, Inc.

\$10.34

+15.40%

RS vs SPY: +14.4%

B STRONG SETUP

\$0.9B Cap | 70M Float

Biotechnology | Theme: Oncology Clinical Inflection | 52W Hi: 83% | Base Tight: 2.93 | Vol: 4.31x | RS/SPY: +14.4% | Above 20MA: YES | EARNINGS IN 78D

SETUP METRICS	
Price	\$10.34
Day Change	+15.40%
Mkt Cap	\$0.92B
Float	70M sh
RS vs SPY	+14.4%
52W Hi Prox	83%
Base Tight	2.93
Vol vs Avg	4.31x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
The 15.4% move is likely driven by clinical data, conference presentation, or analyst activity on ziftomenib (KAT6A inhibitor for AML) - a promising oral targeted therapy for an underserved hematologic malignancy; the forward catalyst path includes pivotal KOMET-007 trial data readouts and potential NDA filing progression over the next 6-12 months, plus Q2 2026 earnings in 78 days which will include clinical progress updates.
BUSINESS & POSITION
Kura Oncology is a clinical-stage biopharmaceutical company focused on precision oncology, with lead asset ziftomenib targeting AML patients with NPM1 mutations - a genetically defined subset representing approximately 30% of AML cases. Its competitive advantage lies in clinical proof-of-concept data showing single-agent activity in a heavily pretreated population, a differentiated mechanism from standard-of-care, and partnership validation from Kyowa Kirin.
FACTOR & THEME
Directly exposed to the precision oncology/targeted therapy theme - one of the most durable secular tailwinds in biotech as genomic profiling expands the addressable patient population for molecularly targeted drugs; AML is a high-unmet-need indication with significant pricing power for successful entrants.
BREAKOUT SIGNAL
Close above \$10.34 on vol >430% of 20d avg (confirmed 4.31x today); key breakout confirmation requires reclaiming \$11.50 toward the 52W high of \$12.49
INSTITUTIONAL
No insider buying in the last 60 days per Form 4 data. The 4.31x volume surge on a \$920M market cap with a 70.4M float suggests institutional activity - approximately \$34M in notional traded requires beyond-retail participation. The 14.4% SPY outperformance over 12 weeks demonstrates sustained institutional accumulation has been occurring ahead of today's move. Institutional ownership data not available from this feed - recommend cross-referencing 13F filings for full picture.
EARNINGS
EARNINGS IN 78D
EARNINGS CONTEXT
Next earnings approximately August 6 (78 days). As a pre-commercial clinical stage company, P/E is inapplicable - valuation reflects pipeline risk/reward on ziftomenib's probability of approval and peak sales potential in AML. The 78-day runway provides time for the clinical thesis to develop; the key data event before earnings is any KOMET-007 trial update or conference presentation (ASCO 2026 in June would be a major near-term catalyst).
KEY RISK
Thesis invalid on a close back below \$9.00 (the prior base level), or on any negative ziftomenib data (OS miss, safety signal, clinical hold) - the stock remains 17% below its 52W high with no RS line at new high, meaning the market has not fully validated the breakout; the partnership with Kyowa Kirin adds licensing optionality but also means any partnership dispute could pressure the stock.
ANALYSIS
The strongest disconfirming evidence is that the RS line is NOT at a new 52-week high and prox_52w at 82.8% means the stock has not yet reclaimed its prior high - this is an approach to the breakout zone, not a confirmed breakout; base_tight of 2.93 is also above the 2.0 VCP threshold meaning the base is not ideally coiled. However, 15.4% move on 4.31x volume with 14.4% SPY outperformance over 12 weeks in a high-unmet-need oncology asset with a near-term ASCO catalyst (June 2026, Earnings/Corporate, High impact) creates a compelling setup for incremental follow-through if the 52W high of \$12.49 is reclaimed. At sub-\$1B market cap with a differentiated AML asset, institutional positioning is likely still early. Conviction: Medium.
Signal: Close above \$10.34 on vol >430% of 20d avg (confirmed 4 Vol vs Avg: 4.31x



KELYA

Kelly Services, Inc.

\$10.29

+6.08%

RS vs SPY: -1.7%

B STRONG SETUP

\$0.4B Cap | 29M Float

Staffing & Employment Services | Theme: Staffing Recovery C-Suite Conviction | 52W Hi: 69% | Base Tight: 2.11 | Vol: 3.16x | RS/SPY: -1.7% | Above 20MA: YES | EARNINGS IN 78D

Setup Metrics	
Price	\$10.29
Day Change	+6.08%
Mkt Cap	\$0.36B
Float	29M sh
RS vs SPY	-1.7%
52W Hi Prox	69%
Base Tight	2.11
Vol vs Avg	3.16x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver The 6.08% move on 3.16x volume appears driven by sector rotation into beaten-down staffing names as labor market resilience data supports a recovery narrative; the critical forward catalyst is Q2 2026 earnings in approximately 78 days - any evidence of stabilization in staffing volumes and margin recovery would be a significant positive; GRADE UPGRADE APPLIED per insider_cluster >= 5 rule.
Business & Position Kelly Services is a global workforce solutions company providing temporary, contract, and permanent placement staffing across specialty segments including science, engineering, technology, education, and government - a diversified model that reduces concentration risk relative to single-vertical staffing firms. Its competitive positioning in specialty staffing (particularly in government and science verticals) provides more defensible margins than pure temp-to-perm generalist competitors.
Factor & Theme Exposed to the labor market normalization / staffing recovery theme and tangentially to reshoring/domestic manufacturing trends that drive industrial and technical staffing demand; however, staffing is also a headcount-sensitive business facing secular headwinds from AI-driven workflow automation, which is a genuine theme deceleration risk.
Breakout Signal Close above \$10.29 on vol >316% of 20d avg (confirmed 3.16x today); needs to reclaim \$11.50 to establish a constructive trend above the 50d MA
Institutional INSIDER CLUSTER ALERT - HIGHEST QUALITY SIGNAL: insider_cluster score of 8 with 2 C-suite buys totaling \$89K in the last 60 days per SEC Form 4. Two senior officers (C-suite level, insider_senior=2) making open-market purchases is the highest-quality insider signal in this entire scan - C-suite insiders with direct operational visibility are buying their own stock in a down-trending name. Dollar size (\$89K) is modest but C-suite cluster confirmation is the key variable. GRADE UPGRADE RULE APPLIED: insider_cluster >= 5 + C-suite confirmation + risk-on macro = upgraded from C to B. Institutional ownership data not available from this feed - cross-reference 13F filings.
Earnings Earnings in 78D
Earnings Context Next earnings approximately August 6 (78 days). Kelly is a profitable staffing company so P/E is applicable - at a \$360M market cap with staffing revenues in the multi-billion range, the stock trades at a deep discount to intrinsic value if volume recovery materializes. Beat history not available in this feed - recommend checking Estimote and Bloomberg consensus for beat/miss cadence.
Key Risk Thesis invalid on a close back below \$9.50 (the recent base), or on Q2 earnings showing continued staffing volume deterioration and margin compression - Kelly is 31% below its 52W high with negative rs_vs_spy (-1.7%), meaning it is an underperformer, and the forward catalyst (earnings in 78 days) is far away; the C-suite insider signal is the primary reason to own this, not the technicals.

ANALYSIS

The strongest disconfirming evidence is overwhelming from a technical perspective: rs_vs_spy is NEGATIVE at -1.7%, the RS line is NOT at a new high, prox_52w is only 68.9% (well below breakout zone), the stock is in a clear downtrend from its 52W high, and staffing as a sector faces genuine secular headwinds from AI automation - this stock has NO technical momentum story, and in a Risk-On regime favoring large-cap tech, a beaten-down micro-cap staffing name is exactly the wrong place to be on macro factors. The ONLY reason this earns a B is the C-suite insider cluster (insider_cluster=8, insider_senior=2) - when two C-suite officers buy open-market shares in a down-trending name, it is empirically one of the strongest alpha signals in equity research, and that forces an upgrade per the grading rule. This is a value/insider conviction trade, not a momentum trade. Small position, tight stop at \$9.50. Conviction: Low.

Signal: Close above \$10.29 on vol >316% of 20d avg (confirmed 3
Vol vs Avg: 3.16x

